

CUSTOMER ANALYSIS

Why total sales alone is not enough

A customer who buys a lot is not always the most valuable customer.

Useful management reporting should consider:

How recent they buy

Recency

How often they buy

Frequency

How much they buy

Monetary

Recency

How recently did the customer purchase?

Business meaning

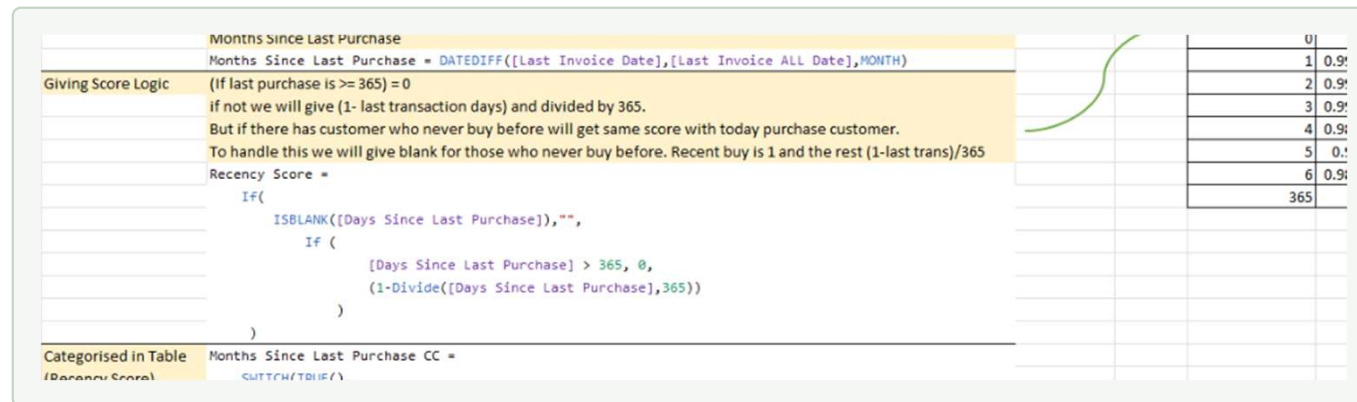
R

Recent purchase usually means the customer is still active. Old purchase may need follow-up or re-engagement.

Last transaction days	Score
0 days	1.00
30 days	0.92
180 days	0.51
365+ days	0.00

DAX idea:

Calculate days since last purchase against the latest transaction date, then convert it into a score from 0 to 1.



Frequency

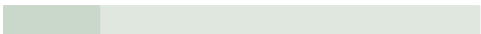
How often does the customer purchase?

F

Business meaning

A customer who purchases regularly can be more valuable than a one-time high spender.

One-time buyer



Repeating buyer



Regular buyer



DAX idea:

Count transactions and calculate average days between purchases to understand buying consistency.

Frequency	how often the customer purchased
Total Transactions	TY Transaction = DISTINCTCOUNT(fct_sales[OrderNumber])
Average Days Formula	Avg Days Bet Purchases = VAR TotalPurchases = [TY Transaction] VAR AvgDays = IF(TotalPurchases > 1, -- 4. for those customer who buy more than one time, we will calculate as following steps, if not Blank() AVERAGEX(-- 3. Find AVERAGEX for days between ADDCOLUMNS(-- 2. ADDCOLUMNS to know "Days Between" SUMMARIZE(--1. Create new column in SUMMARISE as "PrevDate" fct_sales, fct_sales[CustomerKey],fct_sales[OrderDate], "PrevDate", CALCULATE(Max(fct_sales[OrderDate]),

22-Jan	Nwa
22-Jan	El
22-Jan	Htet
22-Jan	Pa
27-Jan	Wai
27-Jan	Htet
27-Jan	Nwa
10-Feb	Wai
10-Feb	Htet
11-Feb	Aun

Monetary

How much does the customer spend?

M

Business meaning

Monetary value is important, but it should be read together with recency and frequency.

Total sales	Score
> 10,000	10
> 8,000	8
> 5,000	5
> 1,000	1

DAX idea:

Rank customers by sales value, but avoid using sales alone as the final judgement.

```
), BLANK() -- 4.
)
RETURN AvgDays
Frequency Score =
--Step 1 to calculate average days between purchases (never buy 0, if buy calculate avg
VAR Step1 =
    IF([Avg Days Bet Purchases] > 365, 0,
        1- (DIVIDE([Avg Days Bet Purchases],365,BLANK())))
    )
-- If customer buy only one time, step 1 will return 1
-- to handle this we will give 0 for those customer too
VAR Step2 = IF(ISBLANK([Avg Days Bet Purchases]), 0, step1)
RETURN Step2
Categorised in Table (Frequency Score) =
    SWITCH(TRUE(),
        [Frequency Score] > 10, 10,
        [Frequency Score] > 8, 8,
        [Frequency Score] > 5, 5,
        [Frequency Score] > 1, 1,
        0
```

Final RFM Score

Combine three customer behaviours into one score.

$$[\text{Recency Score}] \times [\text{Frequency Score}] \times [\text{Monetary Score}]$$

This score helps management see customer value beyond total sales amount.

High Sales

Not always highest value

Recent + Frequent

Strong active relationship

Old + High Sales

Re-engagement opportunity

From DAX to business insight

Active customers

recent + frequent purchase

Loyal customers

consistent purchase pattern

Inactive customers

past buyers with no recent activity

Re-engagement list

customers worth following up
